CHAPTER 1

INTRODUCTION

This book is the celebration of my forty-year career as a forensic consultant, specifically a financial one. When I began my niche career as a business appraiser in 1979, the word "forensic" wasn't even used as a descriptive term for a professional service. The formal definition of the word is "relating to or denoting the application of scientific methods and techniques to the investigation of crime." It also means "relating to courts of law."

I began my earlier, short-lived career in public accounting after college but soon became disillusioned with its monotony and tedium. Quickly abandoning that unfulfilling path, I embarked on a law school education, only to learn that the fate of an apprentice business lawyer was just as boring as that of a staff accountant. Those experiences led me to try my hand at business brokerage, which soon evolved to business appraisal, the professional service that became the basis of my forensic consulting career.

In the beginning, I didn't know that people only needed their businesses appraised if they were in some kind of dispute—usually a partnership split or a divorce—but I soon learned that business appraisal was litigation-related. The initial potential clients were almost all lawyers who needed business appraisers as experts in their cases to solve valuation disputes between their clients. Providing business valuations looked to be a service that I could elevate to a higher professional level rather than merely being a

salesman of business opportunities. I was on my way to building a professional services firm.

One of my early business appraisals resulted in my first experience as an expert witness, and it was horrifying. I received a call from a panicked lawyer who was soon scheduled for trial in his case representing Suzie's Ice Creamery[1] against the landlord whom Suzie claimed had breached her lease in the idyllic commercial district of Coronado, California. A few hundred yards from the famous Hotel del Coronado, Suzie's had operated successfully until her landlord abruptly canceled the sublease that granted her occupancy of a small portion of his larger retail store on prosperous Orange Avenue, the tony commercial district of the quaint beach town. Suzie's lawyer had filed suit to recover the losses she sustained from losing her remaining three years of occupancy after finally achieving profitability and expecting to recover her early start-up losses. The justice of Suzie's case was compelling but, unfortunately, Suzie did not have the good fortune of being well-represented.

For me, the business appraiser, the first clue to problems with the case was the last-minute panic of Suzie's lawyer hiring me about ten days before the scheduled trial in San Diego Superior Court. In the beginning days of my litigation-related expert witness practice, I wasn't familiar with the norms of litigation, but I was still surprised at the late contact by the lawyer. Regardless of my concerns and for reasons I won't belabor here, I agreed to prepare a business appraisal of Suzie's Ice Creamery and testify in court to my findings. I quickly reviewed Suzie's financial performance, visited her abandoned premises, discussed the opera-

1. Not the real business name.

tions of the closed business with her, and did my market research to determine the fair market value of her abandoned business, assuming she would have been allowed to continue to operate.

The shocking part of this story was my appearance at the trial in Suzie's case. Because of my inexperience, I simply did what Suzie's very mediocre lawyer told me to do: show up at 9:30 on Thursday to testify on my findings. There was no advance plan or preparation; it was simply "Be there at 9:30." I didn't know any better, so I did what I was told to do. As soon as I was sworn into my first expert testimony, I immediately realized the difficulty of the situation both Suzie and I were in. Her lawyer didn't have a clue about how to conduct the direct examination of a witness, much less an expert witness who had performed a sophisticated analysis.

Forty years later, I am still incredulous at the fiasco that took place on my direct examination—not to mention a very effective cross-examination—and the poor result that was provided for the client. Suzie's lawyer wasn't prepared for conducting a trial and, candidly, I'm not sure he had the mental capacity to *ever* be prepared. One of the occasional sad realities of forensic consulting is being retained by a below-average lawyer who isn't capable of handling the trial of a sophisticated lawsuit. I will discuss strategies and techniques to overcome this infrequent situation in the pages of this book, but I'm sorry it has to be discussed at all.

In 1983 I left the employ of my second business brokerage firm, where I was doing exclusively business appraisal work, and formed my business appraisal firm, Brinig & Company Inc. At first, it was only me renting a month-to-month office in a downtown office building in San Diego. I used my downtown contacts and my bar association membership to meet lawyers, trying to find business appraisal cases. It didn't take long to be busy enough

to be making rent and a couple of thousand dollars a month to take home. As I grew my appraisal practice, I added some young staff financial analysts and trained them to do support work and report drafting. A couple of years into the practice, I began getting calls to provide other types of forensic financial work, primarily personal economic loss analysis and business damages. Over the years, several other principals joined the firm, expanding our base into broader areas of financial consulting, but every area of our practice was forensic, meaning it was litigation related.

I won't continue the story through the stages of growth of Brinig & Company Inc.—it was a great ride—but by the time the firm was acquired in 2019 by CBIZ, a publicly traded financial services firm, we were a twenty-person organization with a prestigious reputation in Southern California as a valuation and forensic accounting firm. As I will discuss in subsequent chapters, I always considered it important for the firm to look and act like a consummate professional organization. Nice offices, professional dress code, no cheap advertising, and most importantly, the highest-quality work product possible.

In recent years, I have described myself as a "forensic accountant," and I think the term fits what I do. My practice has evolved to be about one-third business valuation, one-third personal economic loss analysis (for personal injury cases, wrongful death cases, and wrongful termination cases), and one-third business damages cases (usually lost profits from a breach of contract or business tort). I have tried to maintain a fairly balanced practice, meaning I am retained roughly equally by plaintiffs and defendants to provide services to them. I want the marketplace of lawyers and judges to perceive me as an honest economic expert, not one whose opinion can be bought and paid for.

At this stage of my career, I can candidly write the things I share in these pages, knowing that lawyers will no longer have the opportunity to distort them in arguments against me on cross-examination. I'll be busy teaching at the University of San Diego School of Law and writing my next books. My objective here is to share everything I know about this niche industry, and I believe these pages will help you develop your new or existing forensic consulting practice into a successful professional venture. Mine has been an enjoyable, successful career, and I can't think of anything I would rather have done professionally for the last forty years.